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Automotive Industry Strikes to Have Short-Term but Noticeable Economic Impact

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On September 15, the United Auto Workers (UAW) began a partial strike against the Detroit Three auto manufacturers after their contracts expired. A targeted strike that began at three assembly plants has widened to six assembly plants and thirty-eight parts distribution centers. As a result of the strikes, other workers in auto manufacturing and related industries have been laid off. Though reductions in both employment and production should be temporary, both the national economy and some regional economies could experience repercussions in the following quarters, with the economies of some metros particularly at risk. The impact on the banking sector is likely to be limited.

The UAW is striking six manufacturing plants and dozens of parts distributors, with the potential to expand to more facilities. In mid-September, UAW contracts with the Detroit Three (Ford, General Motors, and Stellantis) expired amid ongoing negotiations.[1] The UAW has asked for raises of more than 30 percent over the next four years, cost-of-living adjustments, and improved benefits and pensions, while the companies have offered a roughly 20 percent pay increase. When the previous contracts expired, the union began striking at plants near Detroit, St. Louis, and Toledo.[2]

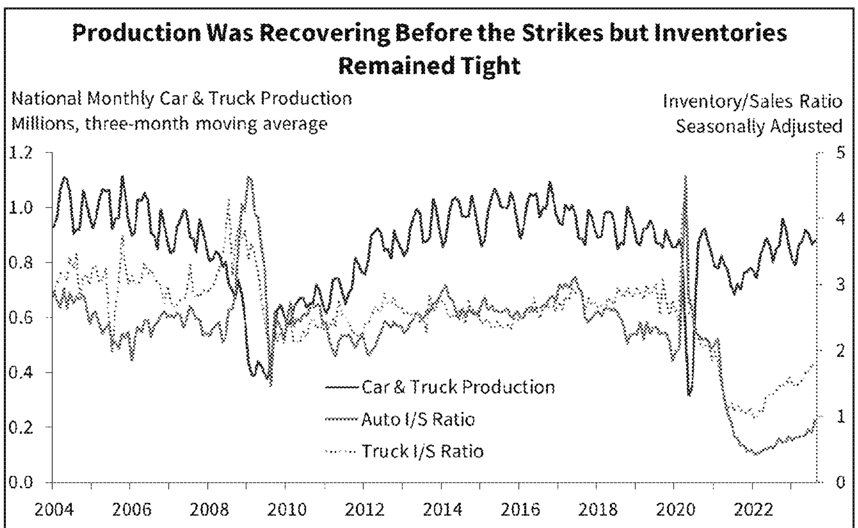
Unlike previous strikes, the UAW opted for a rolling strike that targeted an initial group of sites with the potential to walk out on specific companies depending on the progress of negotiations. The limited strike allows the UAW to maintain the strike for a longer period while still paying striking workers and preserving the leverage to be able to expand the strike to more plants. To cover for wages lost during the strike, the union amassed $825 million in strike funds and raised the pay for striking members to $500 weekly.

As of October 10, the strike broadened from nearly 13,000 workers in three states to nearly 34,000 workers in six assembly plants across five states, including three in Chicago, Lansing, and Louisville, and thirty-eight GM and Stellantis parts distribution facilities. Another GM assembly plant in Kansas City has been idled because of strike spillover effects, as that plant relied on parts from the St. Louis factory.

[1] Stellantis was formed by the merger of Fiat Chrysler and the PSA Group in 2021. The conglomerate manufactures vehicles such as Chrysler, Jeep, Ram, Peugeot, and Maserati.
[2] Throughout this article plants are referred to by the Metropolitan Statistical Area in which they are located.

The strike will weigh on vehicle production, worsening already tight inventories of new automobiles, and has led to layoffs at the Detroit Three and in related industries. The strike has led to vehicle production cuts among affected automakers, although the limited reach of the strike has mitigated the impact. Approximately 16 percent of the pre-strike year-to-date production of the Detroit Three originated from the plants that are being struck, excluding the Louisville plant. These production cuts will weigh on already low inventory-to-sales ratios, which had recovered somewhat from the all-time troughs reached in early 2022 (Chart 1). The decline has been particularly sharp for the automobile category, while the truck category (which includes larger vehicles such as SUVs) has seen a larger recovery. The large decline in inventories was caused by the chip shortage, which severely limited production in 2021 and 2022. So far, inventory levels for the Detroit Three have not fallen sharply due to the strike, although inventories remain low among the Cadillac and Chevrolet brands. Production of Cadillacs has largely been unaffected by the strike, but production of several Chevrolet models has been halted. A long and more widespread strike could significantly deplete inventories, increasing prices and stress on buyers.

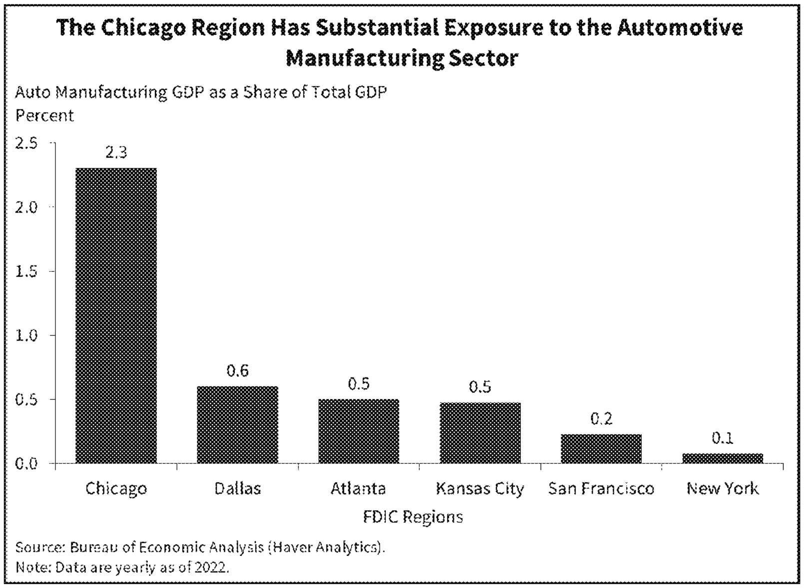
Chart 1



Sources: Automotive News and Bureau of Economic Analysis (Haver Analytics and Ward's Automotive Group).
Note: Monthly data through August 2023.

The Chicago Region has outsized exposure to the automotive manufacturing sector, and is particularly at risk for potential expansion of the strike. The nearly 34,000 striking workers, representing greater than one-fifth of the UAW's autoworkers, are now off of company payrolls and will be a large drag on total employment in the Chicago Region and other affected areas beginning with the October data. In addition to having a majority of the temporarily shut plants, the Chicago Region derives a much larger share of its GDP from the automotive manufacturing sector than the other FDIC Regions (Chart 2).

Chart 2



In addition to directly lost employment, another 6,000 workers have been laid off by automakers and by auto suppliers due to the initial strike. A majority of those workers were directly laid off by the Detroit Three. Laid-off workers include not only the Kansas City GM employees but also workers at a Granite City, Illinois, steel plant and auto suppliers near the affected plants. Thirty-nine percent of the members of the Motor & Equipment Manufacturers Association have already begun layoffs due to the strike and approximately half of suppliers that have not begun layoffs expect to begin layoffs by the end of October if the strike continues. Many of these layoffs are announced as temporary but a lengthy strike could lead some auto suppliers to declare bankruptcy, creating permanent layoffs, which would make it harder for the auto sector to resume production when the strike ends.

Local economies are already feeling substantial impact from the strikes. The metros of the affected plants vary widely in size and exposure to the strike. While strikes at plants in large and diversified metros like Chicago, Kansas City, and St. Louis are unlikely to cause serious disruption to the local economies, smaller metros like Toledo and Lansing are more vulnerable to the strikes. Both metros derive more than three times the national share of employment (also known as their location quotient) from transportation equipment manufacturing, with Toledo having a location quotient greater than five. While Detroit and Louisville are larger metros in terms of population and total employment than Toledo or Lansing, they are not as diversified as the other large metros due in part to its high concentration of jobs in the automotive manufacturing industry. Detroit has a sector location quotient greater than five and could be more adversely affected if the strikes are prolonged and spread to other plants in the area but will be much less affected if the strike remains isolated at one Detroit plant. Louisville has a smaller location quotient than Detroit at nearly three, but the Ford plant that is being struck accounts for a large share of the employment in this sector. Additionally, the strike at this Louisville plant may lead to the idling of another Louisville plant that relies on parts produced at the now-struck plant.

The strike's impact on the national economy will vary based on the duration and size of the strike. S&P Global estimated that the strike was a slight drag on the yet-to-be-released third quarter 2023 GDP data, subtracting slightly less than one-tenth of a percent from quarterly growth.[3] The small impact is due to the strike being geographically limited during the quarter and its September 15 start date. However, S&P estimated that the strike at the six plants struck, with the Kansas City plant also idled as a result, would subtract 0.8 percent from GDP growth in fourth quarter 2023 if the strike is sustained for the entire quarter. Additional factory shutdowns would amplify the impact on GDP growth. The output losses will likely be temporary, as S&P projects GDP growth will be aided by the sector's recovery when the strike ends.

The union's decision to not immediately strike at factories that produce the largest and most-profitable vehicles has so far limited the economic and financial impact of the strike on the national economy. However, the October 11 strike at the Louisville plant, which is Ford's largest and most profitable plant as it produces the lucrative F-Series Super Duty trucks, represents an escalation in the strike. While the banking sector should be relatively unaffected by a short strike, as few banks have significant exposure to the production of automobiles, a lengthy and broad strike could significantly affect the economies of exposed areas, which could create risk for banks with elevated exposure to those geographies and affected industries.

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[3] Ben Herzon, John Raines, Chris Rogers, "United Auto Workers' Big 3 strike," *S&P Global*, October 13, 2023.